

MCA Distribution Platform

Compensation & Incentive Policy (Internal)

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CONFIDENTIALITY NOTICE

This document contains confidential business information regarding compensation, incentive design, and operational controls. It is intended for internal stakeholders and approved funding partners only. Do not distribute without written approval.

1. Executive Summary

This policy defines how the Platform allocates Gross Brokerage Revenue (GBR) received from funding partners for successfully funded commercial receivables purchase transactions. The structure is designed to (i) incentivize merchant acquisition, (ii) reward transaction fulfillment performance, (iii) preserve platform economics to support overhead and compliance, and (iv) maintain a defensible compliance posture by separating service compensation from pricing language.

At a high level:

- All Gross Brokerage Revenue (GBR) is paid to the Platform first, then distributed via a controlled payout waterfall.
- Merchant Acquisition Compensation is capped at three (3) levels and weighted toward the direct producer.
- Transaction Fulfillment Compensation is tiered and recalculated monthly using objective performance criteria.
- A Risk Stabilization Reserve and payout holdbacks protect the Platform against early defaults and clawbacks.
- Quarterly Performance Accelerators reward high-producing direct producers without permanently increasing fixed payout rates.
- Renewal allocations emphasize fulfillment performance and platform continuity while still rewarding original acquisition.

2. Purpose and Scope

2.1 Purpose

The purpose of this policy is to standardize compensation and incentive payouts across all Platform participants, including Referral Participants (Opening Agents and Sponsors) and Fulfillment Agents (Closing Agents), while ensuring consistent compliance governance and predictable unit economics.

2.2 Scope

- Applies to all Platform-participating agents, agencies, closers, and internal administrators.
- Covers new originations and renewals/refinances facilitated through approved funding partners.
- Covers both transactional incentives (GBR allocations) and eligibility requirements tied to subscription status and compliance.

3. Definitions

Term	Definition
Platform	The brokerage/ISO operating entity that hosts the technology platform, training, QA, compliance, and payout administration.
Funding Partner	An independent capital provider or lender partner that funds receivables purchase transactions and compensates the Platform via GBR.
Merchant	The business customer receiving an advance in exchange for a purchase of future receivables (commercial receivables purchase transaction).
Gross Brokerage Revenue (GBR)	Compensation paid to the Platform by Funding Partners for merchant acquisition, transaction facilitation, administrative coordination, and compliance oversight. This policy does not characterize GBR as rate markup or spread.
Merchant Acquisition Compensation (MAC)	Incentive compensation allocated to referral participants for sourcing and qualifying merchants.
Transaction Fulfillment Compensation (TFC)	Compensation allocated to Fulfillment Agents for underwriting coordination, deal progression, approval execution, and funding completion.
Platform Infrastructure & Compliance Fee (PICF)	Retained revenue that supports platform overhead, compliance infrastructure, QA, training, operations, and profitability.

Risk Stabilization Reserve (RSR)	A reserve allocation to mitigate clawback and volatility risk and support operational stability.
Primary Referring Agent	The direct producer who sources the merchant and submits the initial file through Platform processes.
Senior Referral Sponsor	The immediate sponsor/upline above the Primary Referring Agent, eligible for capped tier override if qualified.
Executive Referral Sponsor	The second-level sponsor/upline above the Primary Referring Agent, eligible for capped tier override if qualified.
Fulfillment Agent	The assigned closing professional coordinating underwriting/approval and driving the transaction to funding.

4. Roles and Responsibilities

4.1 Primary Referring Agent (Opening Agent)

- Sources merchant leads and conducts initial qualification.
- Collects required documentation per Platform checklist.
- Submits the file through Platform systems and follows Platform training/QA requirements.
- Does not set, negotiate, or represent pricing terms.

4.2 Sponsors (Senior and Executive)

- Provide coaching, support, and training reinforcement to downstream agents.
- Remain eligible for tier overrides only if qualified (subscription current, compliance in good standing, minimum activity).

4.3 Fulfillment Agent (Closing Agent)

- Coordinates underwriting and approval process with Funding Partner.
- Maintains documentation integrity and drives deal to funding.
- Operates under Platform pricing governance and disclosure rules.
- Performance is scored monthly to determine the applicable TFC tier.

4.4 Platform Administration

- Receives all GBR from Funding Partners and executes the payout waterfall.
- Maintains training, QA, compliance controls, and disclosure archives.
- Applies holdbacks/clawbacks and manages the Risk Stabilization Reserve.
- Publishes monthly Fulfillment Tier classifications and quarterly accelerator results.

5. Compliance Shield and Governance Controls

The Platform operates under a compliance-first model. The controls below are mandatory and intended to reduce regulatory exposure and ensure consistent merchant-facing representations.

5.1 Pricing Authority Control

- No participant may independently set, alter, negotiate, or represent pricing terms (including factor rate, holdback, term, or fees).
- Pricing and merchant terms are generated through Platform-approved processes in accordance with Funding Partner program rules.
- Any exception requires documented Platform approval.

5.2 Disclosure Governance

- All merchant disclosures are generated centrally by the Platform.
- Participants may not provide alternative disclosure forms or unofficial estimates.
- The Platform maintains an auditable archive of disclosures and key transaction documents.

5.3 Compensation Source Clarification

- All compensation is paid from Platform GBR and is not paid from merchant payments directly.
- Participants may not describe compensation as rate markup, spread, points above buy rate, or similar terms.
- Participant compensation is characterized as incentive compensation for acquisition and fulfillment services.

5.4 Activity and Qualification Requirements

- To receive MAC overrides (Sponsor tiers), a participant must be active, subscription-current, and in good compliance standing.
- Minimum activity requirement: at least one funded transaction per calendar quarter (or other threshold set by Platform).
- If not qualified, Sponsor tier compensation compresses upward or reverts to the Platform.

5.5 Clawback and Risk Governance

- Payout timing: 70% released at funding confirmation; 30% deferred 60-90 days.
- Clawback schedule: 0-30 days = 100%; 31-90 days = 50%; after 90 days = none (unless Funding Partner rules require otherwise).
- Clawbacks cascade proportionally across all paid participants for the transaction, subject to Platform discretion for exceptional cases.

5.6 Regulatory Alignment

- The Platform will operate through appropriate registrations or compliant partner structures where required by applicable state law.
- The Platform may update controls, disclosures, and payout practices as regulations evolve.

6. Revenue Allocation and Payout Waterfall (New Transactions)

Upon receipt of GBR from a Funding Partner for a successfully funded transaction, the Platform allocates the GBR according to the following waterfall. Percentages are applied to GBR for that transaction.

Allocation Category	Percentage of GBR	Notes
Transaction Fulfillment Compensation (TFC)	30% - 40% (tiered monthly)	Paid to assigned Fulfillment Agent based on monthly performance tier.
Merchant Acquisition Compensation (MAC)	30% (fixed)	Paid across Primary Referring Agent and Sponsors (3-level cap).
Platform Infrastructure & Compliance Fee (PICF)	25% - 35% (flex)	Funds overhead, technology, QA, compliance, admin; flexes opposite TFC.
Risk Stabilization Reserve (RSR)	5% (fixed)	Held to mitigate clawbacks/volatility and support stability.

Note: The MAC allocation is fixed; TFC and PICF flex within the stated range based on Fulfillment Tier outcomes.

7. Merchant Acquisition Compensation (MAC) Details

7.1 Three-Level Cap and Producer-Weighted Split

Participant Tier	Percentage of GBR	Eligibility Summary
Primary Referring Agent (Direct Producer)	22%	Active subscription; compliance in good standing; transaction attributable through Platform systems.
Senior Referral Sponsor (Level 1)	5%	Qualified sponsor; otherwise compresses upward or reverts to Platform.
Executive Referral Sponsor (Level 2)	3%	Qualified sponsor; otherwise compresses upward or reverts to

		Platform.
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7.2 Sponsor Compression Rule

- If a Sponsor is not qualified at the time of payout, that Sponsor's tier allocation compresses upward to the next qualified Sponsor.
- If no Sponsor in the chain is qualified, the unallocated portion reverts to the Platform (PICF).

8. Transaction Fulfillment Compensation (TFC) - Monthly Tier Reset

Fulfillment Agents are classified into tiers each calendar month. The tier determines the TFC percentage applied to transactions funded during that month. Tiers reset clean each month.

Tier	TFC % of GBR	PICF % of GBR (implied)	Summary
Elite	40%	25%	Top performance across approval efficiency, portfolio quality, and funded volume.
Standard	35%	30%	Meets baseline expectations with consistent quality and throughput.
Development	30%	35%	Requires improvement; may be subject to coaching or additional QA review.

8.1 Monthly Scorecard Metrics (Weighted)

- Approval Efficiency (40%): approvals divided by submissions.
- Portfolio Quality Index (30%): paper quality mix and adherence to anti-stacking and documentation integrity standards.
- Funded Volume (30%): total funded volume in the calendar month.

8.2 Operational Notes

- The Platform publishes Fulfillment Tier assignments by the first business day of each month.
- Tier applies to transactions funded during that month.
- The Platform may apply additional QA review or coaching requirements to Development tier agents.

9. Direct Producer Performance Accelerator (Quarterly)

The Platform offers quarterly Performance Accelerators to reward high-producing Primary Referring Agents. Accelerators are paid as a bonus from Platform funds (not a permanent increase to base allocation percentages).

Quarterly Funded Volume (Personal)	Accelerator Bonus (applied to personal GBR)	Notes
\$250,000+	0.5%	Entry accelerator threshold.
\$500,000+	1.0%	Mid-tier accelerator.
\$1,000,000+	2.0%	High performance accelerator.
\$2,000,000+	3.0%	Top-tier accelerator.

Accelerator payout timing: within 15 days after quarter close, subject to compliance standing and clawback reserves.

10. Renewal / Refinance Allocations

Renewals are allocated using a distinct waterfall that emphasizes continuity, fulfillment performance, and platform governance.

Allocation Category	Percentage of GBR (Renewal)	Notes
Transaction Fulfillment Compensation (TFC)	40% - 45% (tiered monthly)	Tiered monthly; renewal tier may apply separate thresholds at Platform discretion.
Merchant Acquisition Compensation (MAC)	15% (fixed)	Reduced acquisition share for renewals.
Platform Infrastructure & Compliance Fee (PICF)	35% - 40% (flex)	Flexes opposite TFC.
Risk Stabilization Reserve (RSR)	5% (fixed)	Held for volatility and clawback protection.

Renewal MAC split (3-level cap):

- Primary Referring Agent: 11% of renewal GBR
- Senior Referral Sponsor: 2.5% of renewal GBR
- Executive Referral Sponsor: 1.5% of renewal GBR

11. Payout Mechanics, Holdbacks, and Clawbacks

11.1 Payout Timing

- Funding Confirmation: 70% of each participant's earned amount is payable following confirmed funding and receipt of GBR.
- Deferred Release: 30% is deferred for 60-90 days (term set by Funding Partner program and Platform risk policy).

11.2 Clawback Schedule

- 0-30 days from funding: 100% clawback of paid compensation (or per Funding Partner rule if stricter).
- 31-90 days from funding: 50% clawback of paid compensation.
- After 90 days: no clawback unless Funding Partner terms require otherwise or fraud/misrepresentation is identified.

11.3 Clawback Allocation

- Clawbacks are allocated proportionally across all paid parties for the affected transaction.
- The Platform may net future payouts to satisfy clawback balances.
- Risk Stabilization Reserve may be used to manage systemic volatility at Platform discretion.

12. Step-by-Step Operational Workflow

The steps below describe the end-to-end workflow from lead intake through payout distribution.

12.1 Lead Intake and Qualification (Primary Referring Agent)

1. Collect initial merchant profile (industry, revenue, time in business, existing positions).
2. Complete Platform qualification checklist and confirm required documents.
3. Submit lead and documentation through Platform system (no off-platform submissions).
4. Confirm merchant acknowledgment of Platform communication and required disclosures.

12.2 File Review and QA (Platform)

5. Platform validates file completeness and documentation integrity (QA checklist).
6. Platform confirms compliance items (disclosure requirements, communications standards).
7. Platform assigns the Fulfillment Agent (Closing Agent) based on routing rules and capacity.
8. Platform creates an internal transaction record for tracking and payout mapping (agent chain + closer assignment).

12.3 Underwriting Coordination and Funding (Fulfillment Agent)

9. Coordinate underwriting requests with merchant and Funding Partner.
10. Ensure all communications remain within approved scripts and disclosures.
11. Drive transaction to approval and funding confirmation.
12. Notify Platform of funding confirmation and submit final documentation package.

12.4 Revenue Receipt and Waterfall Payout (Platform)

13. Receive Gross Brokerage Revenue (GBR) from Funding Partner into Platform operating account.
14. Calculate allocations per applicable waterfall (new deal vs renewal; closer tier for that month).
15. Apply holdback (30%) and release immediate portion (70%).
16. Validate participant eligibility (subscription current, compliance standing, sponsor qualification).
17. Execute payouts via Platform payout system and generate statements.
18. Update Risk Stabilization Reserve balance and track clawback exposure.

13. Reporting, Statements, and Auditability

- Platform provides transaction-level payout statements to participants.
- Platform maintains a compliance archive: disclosures, communications logs (where applicable), and funding confirmations.
- Monthly reporting includes: approval rate, funded volume, paper quality mix, and tier classification for each Fulfillment Agent.
- Quarterly reporting includes: producer volume and accelerator eligibility results.

14. Change Control and Amendments

The Platform may amend this policy to reflect changes in funding partner terms, regulatory requirements, risk conditions, or platform economics. Any changes will be published with a new version number and effective date.

Appendix A: Worked Example (New Deal)

Assumptions: \$100,000 funded, 12 points GBR (\$12,000). Closer is Standard tier (35%).

- TFC (Standard): $35\% = \$4,200$
- MAC (30%): \$3,600 split as Direct \$2,640; Senior \$600; Executive \$360
- PICF: $30\% = \$3,600$
- RSR: $5\% = \$600$
- Payout timing: 70% now / 30% deferred

Appendix B: Worked Example (Renewal)

Assumptions: \$100,000 renewal, 10 points GBR (\$10,000). Closer is Elite tier (45% on renewals).

- TFC (Elite Renewal): $45\% = \$4,500$
- MAC (15%): \$1,500 split as Direct \$1,100; Senior \$250; Executive \$150

- PICF: 35% = \$3,500
- RSR: 5% = \$500